

Housing Capacity and Equity Around Diridon Station

Where San José’s biggest transit investment can add homes — and for whom

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Note

Bottom line. Within one mile of Diridon Station, San José’s zoning permits a theoretical $\approx 120,000$ homes — but the lever that matters is the **Downtown core**, which holds $\sim 88\%$ of that capacity and where roughly **38% of the zoned land is underbuilt** (largely surface parking and vacant lots). The zoned capacity on those underbuilt “**soft sites**” is $\approx 42,500$ homes — or a conservative $\approx 20,600$ if every zero-footprint parcel (some of which may be rail or civic land) is set aside. Either way it is a large supply beside the region’s marquee transit hub, in a neighborhood that is **68% renters** and **twice as transit-dependent** as the rest of the city — so capacity should be paired with anti-displacement and inclusionary tools, not unlocked on its own.

The question

Diridon is the San Francisco Bay Area’s flagship transit-oriented development site: the future convergence of BART’s Silicon Valley extension, California High-Speed Rail, Caltrain, and Google’s “Downtown West.” It is exactly the kind of station area where regions hope to concentrate new housing. Two questions decide whether that hope is realistic:

1. **Capacity** — does the zoning actually permit enough housing near the station, and how much of it is on land that could realistically redevelop?
2. **Equity** — who lives there now, and would adding homes put them at risk?

Approach

We work at the **parcel level** within a **1-mile** station area (5,279 parcels, $\sim 1,420$ acres; distances computed in California State Plane, not Web Mercator — see Methods). For each parcel that permits housing we compute theoretical capacity as *lot acreage $\times$ maximum dwelling units per acre*, using **real maximum densities from San José’s zoning code** (Title 20, Table 20-136) and the **Diridon Station Area Plan** for the Downtown core — not assumptions. We then narrow to **soft-site capacity** by keeping only **soft sites**: high-capacity parcels that are currently vacant or barely built, identified from **OpenStreetMap building-footprint coverage** ($< 15\%$ of the lot built). This is gross zoned capacity *on underbuilt land*, not capacity net of existing units. Finally we overlay **ACS 2022** demographics and the City’s **Equity Index** to characterize who lives in the station area today. Full detail and caveats are in Methods & Sources.

Finding 1 — The capacity is real, and it is downtown

Where San Jose can add homes near Diridon — and who lives there now

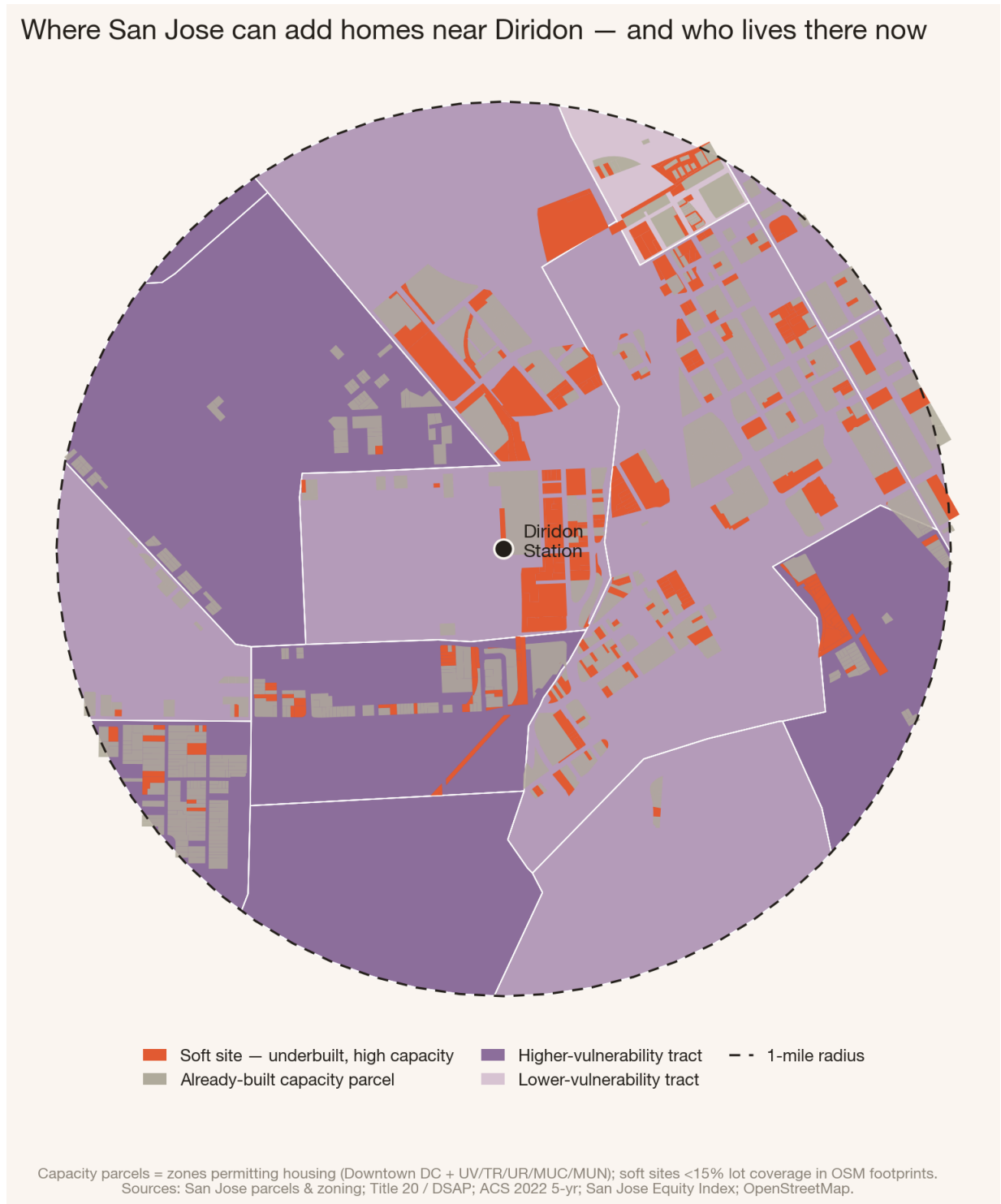


Figure 1: **The story in one map.** Coral parcels are *soft sites* — underbuilt, high-capacity lots clustered tightly around the station and through the Downtown core. They sit atop neighborhoods shaded by displacement vulnerability.

The numbers reframe the opportunity. The six conventional mixed-use / urban-village zones near Diridon — the ones a citywide analysis would flag — cover about **100 acres** and permit roughly **14,700** homes. The bulk of the capacity is in the **Downtown (DC)** core, which covers **300 acres** and, under the DSAP's 350 du/ac ceiling, permits roughly **105,000** homes. Together that is **≈ 120,000 units** of gross zoned capacity.

But gross capacity overstates what can happen, because much of that land is already developed. Restricting to **soft sites** — parcels that are vacant, surface parking, or barely built — leaves **≈ 42,500 homes** of zoned capacity, **~93% of it in the Downtown core**, where roughly **38% of the zoned land is underbuilt** today. San José’s downtown parking problem is, in effect, its largest near-transit housing opportunity. Two honest qualifiers: this is gross capacity on redevelopable land, *not* net of existing units; and **about half of that capacity (~21,900 units) sits on parcels with no detected building** — some genuinely vacant, but some likely rail, station, or civic land. Excluding every such zero-footprint parcel gives a conservative floor of **≈ 20,600 homes**. The defensible range is therefore **~20,600–42,500** (see FAQ).

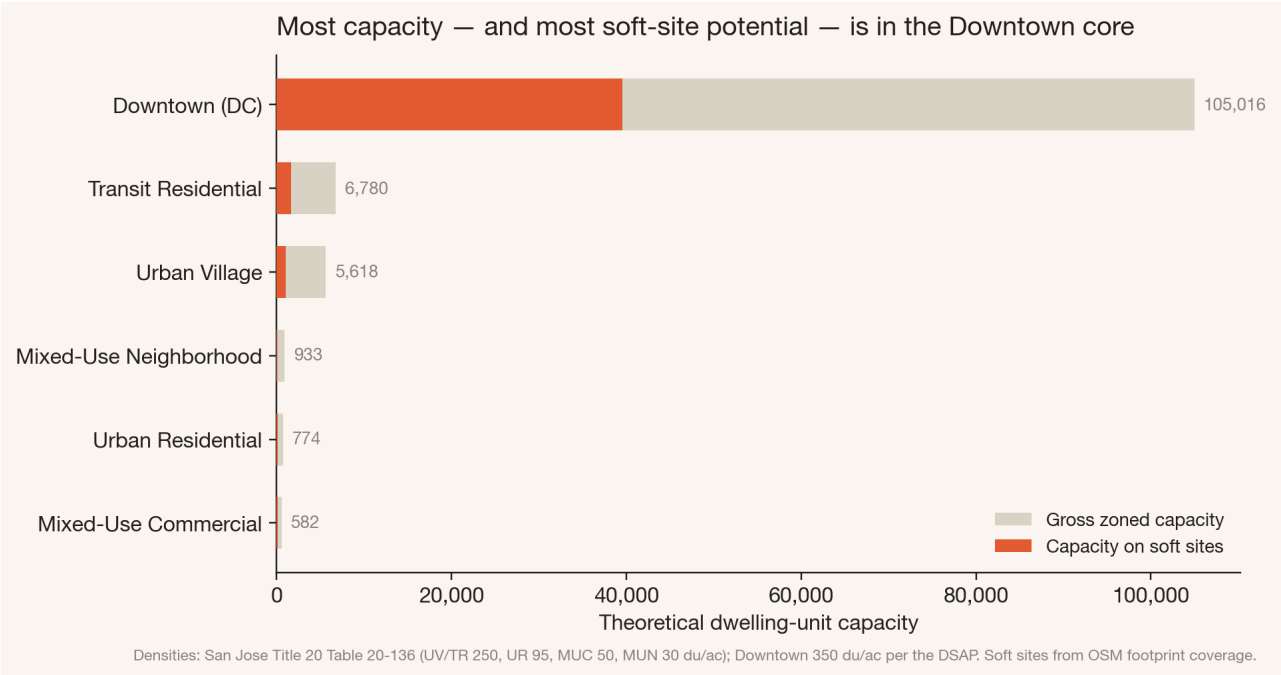


Figure 2: Gross zoned capacity (grey) versus zoned capacity on underbuilt soft sites (coral), by zone. The Downtown core dominates both.

Finding 2 — Who lives there now

The station area is not a blank slate. Compared with San José as a whole, the 1-mile area is overwhelmingly a **renters’ neighborhood** and far more dependent on transit — the residents most exposed to rent pressure if redevelopment is not managed.

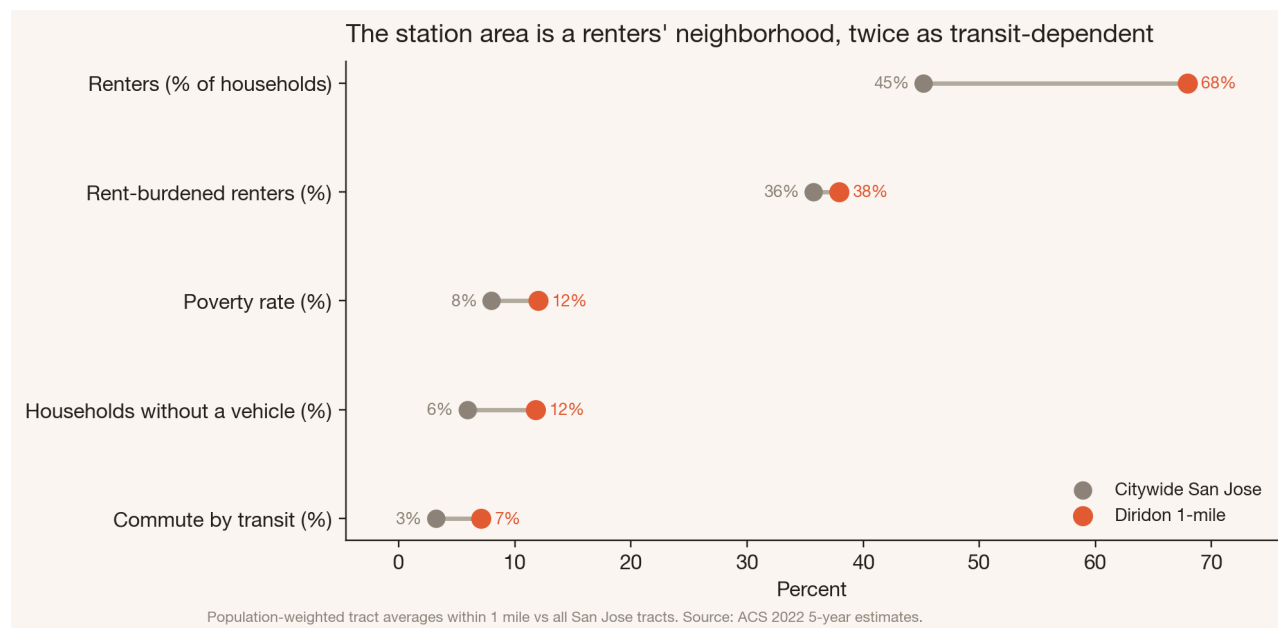


Figure 3: Station-area tracts versus citywide San José, ACS 2022. The station area is markedly more renter-occupied and transit-dependent. (Whole tracts intersecting the 1-mile ring, weighted by occupied housing units.)

Encouragingly, most of the soft-site capacity (~84%) sits in **moderate**- vulnerability tracts (two of four flags) rather than the city's most disadvantaged neighborhoods — this is largely commercial downtown land, not established low-income housing. But “moderate” here still means **majority-renter and transit-reliant** (and, in the 1-mile area, lower median income than the city overall): exactly the population that benefits from new supply *and* is most vulnerable to being priced out during it.

Recommendation

Target the Downtown soft sites for mixed-income, transit-oriented housing — and pair upzoning with anti-displacement and inclusionary tools from the start.

The capacity is concentrated on underbuilt land — mostly surface parking and vacant lots — rather than on occupied housing, which suggests much of it could be added with limited *direct* displacement of existing residents (a parcel-by-parcel ownership and tenancy check would be the next step to confirm this). But because the surrounding population is renter-majority and transit-dependent, capacity alone risks raising rents faster than it adds affordability.

This pairing is the central finding of my own peer-reviewed research. Work on New York City's rent-stabilization system shows that affordability policy is most effective when **tenant protections are coupled with inclusionary zoning** that expands supply, rather than either tool used alone.¹ And parcel-level analysis of the *sequence* of neighborhood change shows that displacement pressure can be anticipated — and mitigated — before it arrives.² Applied to Diridon: adopt soft-site upzoning **with** on-site affordability requirements, right-of-first-refusal / tenant-protection provisions for the few occupied parcels, and monitoring of the high-renter tracts the new capacity touches.

Caveats

This is **theoretical zoned capacity**, not a production forecast — it measures what the code permits, not what the market will build. Soft sites are an *open- data proxy* (footprint coverage), so the Downtown figure is a ceiling: some zero-coverage parcels are the station, rail right-of-way, or open space rather than developable land. Vulnerability flags

¹Zapatka, K., & de Castro Galvao, B. (2022). Affordable Regulation: New York City Rent Stabilization as Housing Affordability Policy. *City & Community*. doi:10.1177/15356841221123762

²Zapatka, K., & Beck, B. (2020). Does Demand Lead Supply? Fem-Led Neighborhood Change and the Sequence of Gentrification. *Urban Studies*. doi:10.1177/0042098020940596

identify *exposure*, not predicted displacement, and ACS estimates carry margins of error. See Methods & Sources for thresholds, sensitivity, and data lineage.

Tip

Sources. City of San José parcels, zoning, and Equity Index; San José Municipal Code Title 20 (Table 20-136); Diridon Station Area Plan (2021); ACS 2022 5-year estimates; OpenStreetMap building footprints. Analysis and figures: Kasey Zapatka, 2026.